

Hero MotoCorp Ltd | HEROMOTOCO | Consumer Discretionary

Hero Moto Corp earlier also known as \"Hero Honda\" is one of India's first motorcycle manufacturers. The company started in 1984 as a Technological collaboration with Honda, Japan. Before this collaboration, Hero was selling Cycles under the brand name, Hero Cycles.

Key Performance Indicators

ROE %	ROCE %	NPM %	D/E	Rev CAGR 5yr	FCF (Cr)
21.14%	173.71%	9.9%	0.03	2.15%	3095.0

Profit & Loss Summary (Rs. Crore)

Year	Sales	Op Profit	Net Profit	OPM%	EPS
2017-03	28610.0	24025.0	3546.0	4585.0%	179.0
2018-03	32458.0	27124.0	3722.0	5334.0%	186.0
2019-03	33971.0	28946.0	3466.0	5025.0%	172.0
2020-03	29254.0	25184.0	3659.0	4070.0%	182.0
2021-03	30959.0	26902.0	2936.0	4058.0%	146.0
2022-03	29551.0	26295.0	2329.0	3256.0%	116.0
2023-03	34158.0	30060.0	2800.0	4099.0%	141.0
2024-03	37789.0	32554.0	3742.0	5235.0%	187.0

Key Ratios Trend

Year	ROE%	ROCE%	D/E	FCF(Cr)	Rev CAGR
2019-03	26.42%	210.85%	0.02	2330.0	6.09%
2020-03	25.4%	163.79%	0.03	2699.0	1.22%
2021-03	19.05%	163.67%	0.04	1821.0	1.7%
2022-03	14.7%	155.63%	0.04	1882.0	0.65%
2023-03	16.81%	170.48%	0.03	2193.0	1.03%
2024-03	21.14%	173.71%	0.03	3095.0	2.15%

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Balance Sheet Summary (Rs. Crore)

Year	Equity	Reserves	Borrowings	Total Assets
2019-03	40.0	13080.0	312.0	18504.0
2020-03	40.0	14366.0	453.0	19674.0
2021-03	40.0	15376.0	584.0	23096.0
2022-03	40.0	15807.0	605.0	22478.0
2023-03	40.0	16616.0	568.0	23917.0
2024-03	40.0	17659.0	606.0	26153.0

Cash Flow Statement (Rs. Crore)

Year	CFO	CFI	CFF	Net Cash
2022-03	2104.0	-222.0	-1975.0	-94.0
2023-03	2614.0	-421.0	-2147.0	45.0
2024-03	4923.0	-1828.0	-2717.0	379.0

Capital Allocation Pattern

Reinvestor

Strengths

- + Strong free cash flow generation over 5 years signals healthy business fundamentals
- + Operating profit margin above 25% indicates strong pricing power and cost discipline
- + Very high interest coverage ratio reflects negligible financial stress from debt servicing
- + Consistent dividend yield above 2% backed by positive free cash flow

Concerns

- Operating margins declining for 3 consecutive years suggest pricing or cost pressure
- Revenue growing at below 5% over 5 years lags inflation and suggests limited business momentum